

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY SA

**COMPLAINANT MCS INDUSTRIES, INC.'S MOTION FOR
PERMISSION TO FILE VERIFIED AMENDED COMPLAINT
AGAINST RESPONDENT MSC MEDITERRANEAN SHIPPING COMPANY SA**

Complainant MCS Industries, Inc. ("Complainant"), by and through its undersigned attorneys, hereby moves pursuant to Rule 66 of the Federal Maritime Commission's (the "Commission") Rules of Practice and Procedure (the "Rules"), 46 C.F.R. § 502.66, for permission from the Presiding Officer in this case to file its Verified Amended Complaint against Respondent MSC Mediterranean Shipping Company SA ("Respondent"), which is being submitted to the Secretary of the Commission for filing simultaneously with this motion.

LEGAL STANDARD

Rule 66(a) of the Rules, 46 C.F.R. § 502.66(a), provides:

Amendments or supplements to any pleading (complaint, Order of Investigation and Hearing, counterclaim, crossclaim, third-party complaint, and answers thereto) will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues. The presiding officer may direct a party to state its case more fully and in more detail by way of amendment.

The Rules do not specify criteria for permitting or rejecting proposed amended pleadings, but Rule 12, 46 C.F.R. § 502.12, provides that "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to

the extent that they are consistent with sound administrative practice.” Rule 15(a)(2) of the Federal Rules of Civil Procedure provides that the court—here, the Presiding Officer—“should freely give leave [to amend a pleading] when justice so requires.”

PROCEDURAL POSTURE

Complainant has not previously sought to amend its Verified Complaint. Late this afternoon, *after* the undersigned counsel had notified Respondent’s counsel of Complainant’s intent to file the Verified Amended Complaint and provided Respondent’s counsel with an unsigned copy of the Verified Amended Complaint, Respondent’s counsel submitted for filing a motion to dismiss Complainant’s *initial* Verified Complaint. No other motions are currently pending. This case is currently in discovery, which under the December 21, 2021 Revised Scheduling Order runs through March 22, 2022.

ARGUMENT

Complainant’s Verified Amended Complaint does not add any additional Respondents and alleges violations of the same sections of the Shipping Act invoked by the Verified Complaint. The Verified Amended Complaint streamlines certain allegations, removes all allegations concerning COSCO Shipping Lines Co., Ltd. in light of an earlier settlement in this case, and alleges substantial additional facts, including internal and external communications by Respondent’s employees and agents, reflecting that Respondent’s violations of the Shipping Act were not limited to the early months of the current shipping year, but instead extended to the prior (i.e., 2020–2021) shipping year. This amendment, which is being filed less than 3 years after the alleged causes of action accrued, is timely under 46 U.S.C. § 41301(a).

As such, the Verified Amended Complaint does not impermissibly broaden the issues in the case (and Respondent will, in any case, have an opportunity to reply to it and prepare its defense

with respect to the 2020–2021 shipping year, including seeking additional discovery with respect to that time period). Instead, this amendment seeks to address in good faith what appear to be continuing patterns or practices that began prior to the current shipping year. It should also be noted that Respondent has already pursued defenses relevant to the 2020–2021 shipping year in response to the original Verified Complaint, and the Presiding Officer has ordered Respondent to produce relevant categories of documents from 2019 and 2020, so the addition of claims relating to the 2020–2021 shipping year will not significantly enlarge the time period subject to discovery or create any significant additional burden. *See, e.g.*, Respondent’s Opposition to Motion to Compel at 81 (arguing that certain of Complainant’s bookings, which Respondent rejected, were “made under the wrong contract” and should have been made under the 2020–2021 service contract number instead of the 2021–2022 service contract number); *id.* at 72 (contending that Respondent’s misconduct should be excused because of “unprecedented challenges in response to the pandemic”); Dec. 8, 2021 Order Granting Motion to Compel (compelling Respondent to produce numerous categories of documents from 2019 and 2020).

There is no dilatory motive underlying this motion; to the contrary, Complainant believes that permitting the parties to proceed in this case on the basis of the Verified Amended Complaint would be *more* efficient and cost-effective than filing a new, separate complaint against Respondent, and would allow the overlapping issues to be addressed in a streamlined fashion, both in discovery and by the Presiding Officer at the hearing in this case. As this case is still in the midst of discovery, this amendment should not, in and of itself, cause delay or inconvenience.

**COUNSEL HAVE CONFERRED ABOUT RECIPROCAL
DISCOVERY CONCERNING THE 2020–2021 SHIPPING YEAR**

The undersigned counsel discussed with Respondent’s counsel during their December 16, 2021 telephone conference that, in light of discovery produced thus far in this case, Complainant

has been looking at Respondent's conduct during the 2020–2021 shipping year and intends to issue additional discovery requests with respect to that shipping year. Respondent's counsel acknowledged that discovery in the case thus far has implicated the 2020–2021 shipping year in certain respects, and indicated that Respondent likely would also be issuing document requests relating to the 2020–2021 shipping year. During that call, Respondent's counsel denied that Complainant's causes of action as alleged in the original Verified Complaint fully encompassed the 2020–2021 shipping year.

Early this afternoon, the undersigned counsel sent Respondent's counsel an unsigned copy of the Verified Amended Complaint, inviting Respondent to meet and confer with respect to whether Respondent would oppose this motion. Instead of responding to our offer to confer, and despite being notified that we would imminently be filing a Verified Amended Complaint, several hours later Respondent submitted for filing a motion to dismiss Complainant's *initial* Verified Complaint, and only thereafter replied to the undersigned counsel's outreach, confirming (consistent with footnote 1 of Respondent's motion to dismiss) that Respondent will oppose this motion. Respondent did not provide Complainant with a draft of its motion to dismiss or make any attempt to meet and confer before filing its motion to dismiss. It appears that Respondent believes that it might gain some strategic advantage by scrambling to file a motion instead of meeting and conferring in good faith.

Complainant respectfully submits that Respondent's gamesmanship is of no moment, as the Verified Amended Complaint renders Respondent's motion to dismiss moot. Consistent with the Presiding Officer's statement in the December 21, 2021 Revised Scheduling Order that "in Commission cases it often is more efficient to brief the proceeding once discovery is complete", and in light of the substantial additional factual allegations in the Verified Amended Complaint,

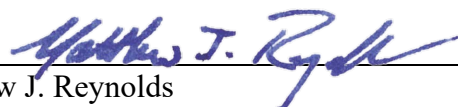
Complainant submits that the Presiding Officer should grant this motion and deny Respondent's motion to dismiss as moot, without prejudice to either party's ability to file dispositive motions with respect to the Verified Amended Complaint at the appropriate time in this case.¹

CONCLUSION

For the foregoing reasons, Complainant respectfully moves the Presiding Officer in this case for an order permitting Complainant to file and proceed in this case on the basis of the Verified Amended Complaint filed herewith and denying Respondent's newly filed motion to dismiss the initial Verified Complaint as moot, without prejudice to either Complainant or Respondent to file dispositive motions with respect to the Verified Amended Complaint at an appropriate time to be designated by the Presiding Officer in this case.

Dated: December 23, 2021

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¹ In the event that Respondent's motion to dismiss is not denied as moot before Complainant's response to that motion would be due, Complainant will, of course, file a detailed response opposing that motion.

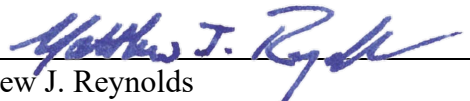
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent MSC Mediterranean Shipping Company SA by emailing copies of those documents to its counsel of record listed below:

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Counsel for Respondent MSC Mediterranean Shipping Company SA

Dated: December 23, 2021



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VERIFIED AMENDED COMPLAINT

I. INTRODUCTION

1. Complainant MCS Industries, Inc. (“MCS” or “Complainant”), by its undersigned counsel, brings this Verified Amended Complaint against Respondent MSC Mediterranean Shipping Company SA (“MSC” or “Respondent”) pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to Complainant caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), alleged herein.
2. Respondent is poised to become the largest container line in the world, and is a member of the “2M alliance”, along with Maersk, the other largest container line in the world. Most of the top global container lines have organized themselves to form three major ocean “alliances”, which collectively control the vast majority of ocean container shipping. As a result, the global carriers wield enormous power over the global shipping industry.
3. Taking advantage of price inflation since the beginning of the COVID-19 pandemic, Respondent has, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, vastly increasing its profitability at the expense of

shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.

4. Traditionally, Complainant has secured the bulk of its ocean freight via service contracts with Respondent and other ocean carriers. Such contracts specify a minimum quantity commitment (“MQC”) for cargo to be shipped between certain groups of ports, and set forth pricing for port-to-port lanes subject to the service commitment. Entering into service contracts in advance enables shippers to ensure they will have sufficient freight service and to mitigate exposure to fluctuations in market price.
5. With the onset of the COVID-19 pandemic, global ocean carriers reportedly began taking actions to prop up ocean carriage pricing and improve their profitability at the expense of shippers and the public. These actions included, among other things, “blank sailings” that deprived shippers of capacity, creating artificial scarcity and boosting prices on the spot market.
6. In 2020 and 2021, Respondent engaged in unjust and unreasonable practices with respect to Complainant’s cargo. Instead of honoring the pricing and MQC commitments in its service contracts with Complainant, Respondent began a practice of systematically failing to meet its quantity commitments to Complainant between certain ports. As a result, Complainant was forced to obtain space on the spot market at enormous expense.
7. Respondent’s unreasonable practices coincided with an unprecedented increase in spot market pricing for ocean freight. On information and belief, Respondent sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to resort to spot market purchases to secure needed freight carriage. Respondent benefits from being able to sell previously contracted capacity on the spot

market, or to shippers willing to pay a premium, rather than honoring its service contract commitments.

8. On information and belief, Respondent's unreasonable practices were knowing and deliberate, and were not due to an absence of available cargo space or necessitated by any other circumstance outside of Respondent's control. In fact, on multiple occasions when Respondent failed to provide space at contracted rates and Complainant had to secure space for containers on the spot market, Complainant's cargo ***actually traveled on Respondent's ships or pursuant to Respondent's own bills of lading***, demonstrating that Respondent did, in fact, have capacity to carry containers pursuant to its service contracts with Complainant.
9. Respondent has also engaged in a deliberate practice of seeking to condition its compliance with its contractual service commitments on extracting additional payments from Complainant, above and beyond the pricing set forth in the relevant service contracts, despite the fact that the relevant service contracts do not permit Respondent to assess such surcharges unilaterally.
10. On information and belief, Respondent has profited greatly from the conduct alleged herein. Although Respondent is a private company that does not disclose its operating results to the public, Respondent reportedly has gone on an unprecedented buying spree during the COVID-19 pandemic, suggesting that Respondent is drawing on enormous windfall profits to support its acquisition activity. According to a November 24, 2021 article from Splash247.com, "MSC has now added around 124 secondhand boxships since it started its buying spree in the second half of 2020. Alphaliner now lists MSC with an owned fleet of 243 vessels, with a further 382 chartered in and 60 on order. ***The line is now poised to overtake Maersk as the world's largest containerline.***"

11. Profiteering by container lines injures not only shippers but the entire consumer public, in the form of inflation. Inflation in the United States has risen to crisis levels, while global ocean carriers report windfall profits and Respondent reportedly engages in a multi-billion-dollar ship-buying spree that has positioned it to become the world's largest ocean carrier.
12. Respondent's conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainant and, upon information and belief, of other shippers has occurred on a normal, customary, and continuous basis.

II. THE COMPLAINANT

13. Complainant MCS is a corporation existing under the laws of the Commonwealth of Pennsylvania with its principal place of business located at 2280 Newlins Mill Road, Easton, Pennsylvania 18045, telephone (610) 253-6268, email care of Sara Faubert, sfaubert@mcsframe.com, and via its undersigned counsel's telephone numbers and email addresses listed below. For purposes of its service contracts with Respondent, Complainant is a "shipper" as that term is defined by 46 U.S.C. Section 40102(23).

III. THE RESPONDENT

14. Upon information and belief, Respondent MSC is a company existing under the laws of Switzerland with its principal place of business located at 12-14 Chemin Rieu, 1208 Geneva, Switzerland. MSC is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with organization number 001699.

IV. JURISDICTION AND LEGAL AUTHORITY

15. The Federal Maritime Commission ("FMC") has subject-matter jurisdiction over this Verified Amended Complaint pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 through 41309.

16. The FMC has personal jurisdiction over Respondent as an “ocean common carrier”, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into “service contracts”, as that term is defined by 46 U.S.C. Section 40102(21), with Complainant.
17. Respondent’s actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).
18. Respondent’s actions alleged herein constitute the provision of service in the liner trade that is not in accordance with the rules and practices contained in its service contracts with Complainant, in violation of 46 U.S.C. Section 41104(a)(2).
19. Respondent’s actions alleged herein, done in connection with its provision of service pursuant to its service contracts with Complainant, individually and collectively constitute unfair and unduly discriminatory practices against Complainant in the matter of rates or charges with respect to the ports for which Complainant contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(5).
20. Respondent’s actions alleged herein with respect to its service contracts with Complainant individually and collectively also have given undue and unreasonable preference and advantage to shippers other than Complainant and imposed undue and unreasonable prejudice and disadvantage on Complainant with respect to the ports for which Complainant contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(9).
21. Respondent’s actions in the course of negotiating carriage with Complainant and providing service to Complainant pursuant to its service contracts with Complainant constitute

unreasonable refusals to deal or negotiate with Complainant, in violation of 46 U.S.C. Section 41104(a)(10).

V. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

The Service Contracts

22. Complainant and Respondent entered into the following service contracts (collectively, the “Service Contracts”):
- a. An Ocean Carrier Agreement, effective as of May 1, 2020 and covering the time period from May 1, 2020 through April 30, 2021 (the “2020 Service Contract”), which was amended on four occasions (the “2020 Amendments”).
 - b. An Ocean Carrier Agreement, effective as of May 1, 2021 and covering the time period from May 1, 2021 through April 30, 2022 (the “2021 Service Contract”), which has been amended on one occasion (the “2021 Amendment”).

The May 2020-April 2021 Shipping Year

23. Complainant and Respondent agreed to the 2020 Service Contract, which governed the May 2020-April 2021 shipping year.
24. The First Amendment to the 2020 Service Contract set its MQC at 1400 twenty-foot equivalent container units (“TEUs”).
25. The 2020 Service Contract listed port pairs subject to the 1400 TEU MQC. Those port pairs included Tianjin to Los Angeles/Long Beach, Qingdao to Los Angeles/Long Beach, Ningbo to Los Angeles/Long Beach, Fuzhou to Los Angeles/Long Beach, and Jakarta to Los Angeles/Long Beach.

26. From May 2020 through September 2020, Respondent met its MQC requirements as specified in the 2020 Service Contract. Respondent provided Complainant at least 116.67 TEUs for each of those months, the rate necessary to achieve a 1400 TEU shipping year.
27. Beginning in October 2020, Respondent engaged in unjust and unreasonable practices toward Complainant. Instead of providing space at the contracted rates, Respondent began a systematic practice of failing to make space available under its service contract, resulting in mounting monthly shortages. Respondent's failures were especially glaring with respect to shipments originating from Ningbo, Qingdao, and Tianjin.
28. For the months October through December of 2020, Respondent continued to provide between 69% and 75% of its monthly MQC allocation. However, beginning in January 2021 Respondent's performance deteriorated dramatically, providing worse service each month until, in April 2021, Respondent provided *just 7.5 TEUs*, less than 7 percent of the contracted MQC on a monthly basis.
29. All told, despite agreeing to provide 1400 TEUs of space to Complainant during the 2020 Service Contract year, Respondent provided only approximately 1101 TEUs to Complainant.
30. As a result of the 299-TEU shortfall, Complainant was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely.
31. As a result of the higher rates Complainant was forced to pay to make up for Respondent's shortfalls, Complainant has been damaged by at least \$400,000.

The May 2021-April 2022 Shipping Year

32. Despite Respondent's poor performance during the end of the prior shipping year, Respondent sought a contract for the following year, and Complainant awarded Respondent the 2021 Service Contract for the May 2021-April 2022 shipping year.
33. The 2021 Service Contract set its MQC at 728 TEUs, corresponding to 60.67 TEUs/month.
34. The 2021 Service Contract lists Qingdao-Los Angeles/Long Beach, Tianjin-Los Angeles/Long Beach, and Fuzhou-Los Angeles/Long Beach as port pairs subject to the 728 TEU MQC.
35. In the first three months of the 2021 Service Contract, prior to the filing of this action, Respondent continued its practice of failing to make contracted space available to Complainant. In those three months, Respondent provided only 59 total TEUs, just 32 percent of the rate contemplated by the 2021 Service Contract.
36. In those three months, Respondent carried no cargo at all for Complainant from Qingdao pursuant to the 2021 Service Contract, and carried less than half of Complainant's contracted space from Tianjin pursuant to the 2021 Service Contract. Across all contracted lanes, Respondent fell far short of providing 60.67 TEUs in each of May, June, and July 2021.
37. As a result of the shortfall in the first three months of the 2021 Service Contract year, Complainant was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely.
38. The 2021 Service Contract remains in effect until April 30, 2022, and damages may continue to accrue. In the first three months of the contract, as a result of the higher rates

Complainant was forced to pay to make up for Respondent's shortfalls, Complainant was damaged by at least \$400,000.

Respondent's Disregard of Service Contracts in Favor of Higher-Priced Freight

39. Respondent's failure to provide contracted space to Complainant appears to be part of an ongoing practice by Respondent of preferring higher-priced freight and demanding extracontractual financial concessions before performing under its service contracts.
40. On June 25, 2020, MSC Mediterranean Shipping Company (USA) Inc. employee Thomas DeMarino admitted in an email to Complainant that "better revenue is getting more space" and threatened that "if customers need more space, we are going to have to increase revenue".
41. In an internal MSC email dated April 1, 2021, MSC employee Anna Kapica expressly tied the failure to provide space to Complainant during the 2020-2021 shipping year to the fact that Complainant had "not paid any premium" on top of its contracted rates.
42. Respondent's practice of demanding a premium as a precondition to performing its contractual obligations was communicated to Respondent's U.S. team from its home office in Geneva, Switzerland. In an internal email exchange from March 31-April 1, 2021, Kapica asked MSC representatives in Switzerland to clarify "what volume we can take at quoted rates, and how much we can take with PSS". Geneva-based MSC employee Xavier Triscone responded, referring to Complainant, that "[t]he way things are going, *they will not get any space without the PSS.*" Nonetheless, Respondent executed the 2021 Service Contract at its quoted rates, without including any PSS.
43. "PSS" stands for "Peak Season Surcharge". Both Service Contracts contain an identical paragraph 5.4, which states: "Notwithstanding anything else to the contrary herein, the

rates *shall not be subject to Peak Season Surcharge* (PSS) for the Term unless mutually agreed. If mutual agreement is not reached either Party may terminate this Contract without penalty by giving the other Party thirty (30) days' written notice.” (Emphasis added.)

44. As discussed below, Complainant has not agreed to any PSS with respect to the 2021 Service Contract. With respect to the 2020 Service Contract, Complainant agreed to pay PSS starting in late October 2020, as reflected in the third Amendment to the 2020 Service Contract.
45. Respondent had the ability to perform its obligations under the Service Contracts. With its reported pandemic-fueled buying spree, Respondent is poised to become the largest container line in the world. Respondent is also a member, along with freight giant Maersk, of the “2M” alliance, a global alliance comprising the two largest container lines in the world. Respondent’s cargo capacity is plainly large enough to accommodate the MQCs set forth in the Service Contracts.
46. In fact, on several occasions when Complainant was forced to make spot market purchases through freight forwarders to make up for Respondent’s shortfall in providing contracted space, Complainant’s containers were carried on Respondent’s own ships or pursuant to Respondent’s own bills of lading. Other spot market purchases resulted in Complainant’s cargo being carried on vessels belonging to Maersk, Respondent’s global alliance partner.
47. Respondent’s conduct suggests a deliberate practice by Respondent of entering into service contracts based on quoted rates while expecting not to fulfill the service commitments in those contracts at the contracted rates, but instead either imposing extracontractual payments such as PSS as a precondition to fulfilling those service commitments or failing

to provide carriage to contracting parties in favor of higher-paying shippers, such as spot market purchasers and shippers who agree to pay PSS or other surcharges.

Respondent's Attempts to Coerce Extracontractual Surcharges from Complainant

48. On August 4, 2021, the FMC launched an inquiry into the timing and legal sufficiency of ocean carrier practices with respect to surcharges. FMC Chairman Daniel B. Maffei noted that cargo rates were already at “record highs”, and that “[n]ow, we hear increasing reports of ocean carriers assessing new additional fees, such as ‘congestion surcharges’, with little notice or explanation.”
49. Chairman Maffei observed, “It seems to me that [congestion-related] factors would already have been included into the record high rates charged by the carriers. As Chairman, I want to know the carriers’ justifications for additional fees and I strongly support close scrutiny by the FMC’s Bureau of Enforcement aimed at stopping any instance where these add-on fees may not fully comply with the law or regulation.”
50. As alleged herein, Respondent is engaged in unjust and unreasonable practices with respect to the charging of Peak Season Surcharges in connection with the receipt, handling, storing, and delivery of the property of Complainant and, upon information and belief, other shippers.
51. Apparently not content with the high rates it agreed to in the Service Contracts, Respondent sought to induce Complainant to agree to pay surcharges, such as PSS, in order to obtain Complainant’s previously contracted space under the Service Contracts.
52. The Service Contracts expressly provide that Respondent is not entitled to charge PSS except pursuant to an express mutual agreement between Respondent and Complainant. If Complainant does not agree to pay PSS, then Respondent’s sole contractual remedy is to

terminate the entire service contract upon 30 days' notice, which Respondent has not done with respect to either of the Service Contracts.

53. The Service Contracts do not permit Respondent to withhold or fail to provide contracted space to induce Complainant to agree to pay PSS.
54. Nonetheless, as alleged herein, under both the 2020 Service Contract and the 2021 Service Contract, Respondent engaged in a practice of failing to provide contracted space, and sought to coerce Complainant to pay additional, extracontractual PSS on top of the contracted rates.
55. In both 2020 and 2021, Respondent's internal and external communications suggest a scheme to condition Respondent's performance under the Service Contracts upon Complainant's agreement to pay PSS.
56. For example, as early as June 25, 2020, MSC employee Thomas DeMarino expressly acknowledged that "I know in your contract there is a mutual clause" regarding PSS. Nonetheless, DeMarino threatened that Respondent would fail to perform under its service contract if Complainant did not agree to pay PSS, stating that paying PSS would put Complainant "in a better situation", that "if customers need more space, we are going to have to increase revenue . . . PSS helps that issue", and that "better revenue is getting more space".
57. On August 19, 2020, when Complainant had a backlog of 9 containers waiting for space at Ningbo, Respondent expressly invoked the fact that Complainant's cargo was "without any PSS" as an explanation for the failure to carry contracted freight.
58. On September 16, 2020, Complainant's Logistics Analyst Brittany Montesano asked MSC employee DeMarino to "[h]elp [her] understand" his "request for a PSS", asking "will we

start getting our weekly MQC that should ALREADY be given to MCS since we signed a contract? Is this the only way we will get what we are supposed to already be getting? I am having a hard time wrapping my head around why MQC contracts are even signed!”

59. DeMarino indicated he would “take to head liner and will revert tomorrow”, but nine days later, on September 25, 2020, Montesano followed up, “I have not heard back on this. I am trying to make some decisions here to see how to get confirmed guaranteed space per week so MCS can preplan our container bookings better. Are you able to send an update”? DeMarino replied, “*I need the PSS to get a better result at this point.* The market is exploding and majority of accounts have accepted. Not sure what else to say at this point.”
60. In October 2020, in response to Respondent’s pressure campaign and Respondent’s deteriorating performance, Complainant agreed to pay PSS for the remainder of the 2020 Service Contract year, hoping that paying PSS would improve Respondent’s performance.
61. Complainant’s agreement to pay additional PSS at first appeared to be modestly successful, as Respondent’s monthly TEU service level climbed from under 70% in October to approximately 75% in November and December 2020. Beginning in January 2021, however, Respondent reversed course and began providing only a small fraction of contracted space to Complainant, even with the additional PSS.
62. The stratospheric spot market prices in effect throughout 2021 have provided Respondent a strong incentive to engage in profiteering by preferring higher-priced freight over freight pursuant to service contracts like those between Respondent and Complainant.
63. Although Complainant has never agreed to pay PSS for the 2021 Service Contract year, Respondent nonetheless engaged in a scheme to coerce PSS payments from Complainant under the 2021 Service Contract.

64. Complainant's internal communications suggest that Complainant deliberately entered into the 2021 Service Contract with the intent of failing to provide contracted space unless Complainant agreed to additional PSS charges.
65. On March 31, 2021, Geneva-based MSC employee Xavier Triscone informed U.S.-based MSC employee Anna Kapica that, since Complainant's main ports of load were Qingdao and Tianjin, "it will be a challenge to release space without a full PSS."
66. Despite knowing that Respondent's home office did not intend to release space without PSS, Kapica responded internally, "*[w]e will advise about PSS starting May.*"
67. The 2021 Service Contract period began on May 1, 2021, meaning that Respondent planned to wait until *after* the 2021 Service Contract had been signed and gone into effect, when Complainant had already relied to its detriment on Respondent's contract pricing, to demand additional extracontractual payments as a condition for actually getting the space for which Complainant had just contracted.
68. Events suggest that Respondent followed through on its plan. Within months of the start of the 2021 Service Contract, Respondent was pressing Complainant to agree to PSS once again.
69. For example, on July 9, 2021, MSC employee Thomas DeMarino openly threatened the prospect of denial of service if Complainant did not agree to pay PSS, writing: "You are not paying PSS. I strongly suggest you consider as a stronger pick season is coming on *so cargo with higher rates may have priority*".
70. In late July 2021, before filing its initial Verified Complaint in this action, Complainant pleaded with Respondent a final time to explain why Respondent was failing to provide contracted space, asking: "Why are we not getting space for Qingdao, I don't see any

booking for weeks 30 and 31. *What is the issue? We need this space!!*” DeMarino flatly responded: “Ok. *Also need to ask again about the PSS. Everyone is accepting.*” After a further exchange, DeMarino reiterated that paying PSS “helps with space.”

71. Respondent’s practice of threatening to withhold, or withholding, contracted space in order to coerce additional payments in the form of PSS appears to be ongoing on a customary and continuous basis with respect to other shippers, as evidenced by Respondent’s statements to Complainant that by the middle of the 2020-2021 shipping year the “*majority of accounts ha[d] accepted*” PSS, that “[e]veryone [was] *accepting*” additional PSS charges in July 2021, and that paying this extracontractual ransom payment “*helps with space*”.

Respondent’s Refusal to Deal

72. Respondent’s conduct with respect to Complainant as alleged herein constitutes an unlawful refusal to deal.
73. Complainant repeatedly advised Respondent directly of its needs concerning cargo to be shipped from the ports identified in the Service Contracts.
74. Upon information and belief, Respondent typically does not handle the booking of shipments originating in China itself, but instead operates through booking agents. Respondent maintains a list of its authorized booking agents on its website.
75. Complainant typically utilizes agents, including Expeditors International of Washington, Inc. (“Expeditors”), to interact with MSC’s booking agents.
76. Complainant and its agents have a long history of working with ocean carriers, including Respondent.

77. As is typical, throughout the terms of the Service Contracts, Complainant and its agents worked with Respondent's approved booking agents to attempt to book space.
78. Throughout the 2020 and 2021 Service Contract years, Expeditors consistently and diligently attempted to book space for Complainant's cargo with MSC via MSC's appointed booking agents.
79. In addition, employees of Complainant complained directly to Respondent on many occasions, during both the 2020 Service Contract year and 2021 Service Contract year, regarding Respondent's failure to provide contracted space.
80. Respondent has repeatedly attempted to excuse its failure to provide space under the Service Contracts by claiming that bookings were not made for certain periods and lanes. Respondent has attempted to blame Complainant or its agents for failing to obtain bookings from Respondent.
81. As alleged herein, however, Respondent appears to have engaged in a systematic refusal to deal with Complainant that resulted in the failure to book Respondent's shipments.
82. Despite Expeditors' consistent and diligent attempts to book, and several direct questions and complaints regarding Respondent's service failures, Respondent failed to provide adequate responses or correct the underlying issues.
83. To ensure booking space would be available, Complainant provided detailed forecasts breaking down its anticipated needs, on a lane-by-lane basis, under the Service Contracts. However, when Complainant or its agents actually sought to book the space, Respondent's booking agents either failed to respond or were unable to secure space.
84. On information and belief, Respondent itself was responsible for its booking agents' failure or inability to secure space. For example, in a July 13, 2021 email, Respondent's booking

agent wrote that she was unable to release space because (translated here from Chinese) *“sales has not unlocked the space”*.

85. Respondent also refused to provide sufficient information to allow Complainant to verify whether Respondent and its agents were properly booking Complainant’s cargo.
86. For example, on July 8, 2021, Complainant requested in writing that Respondent provide a booking report showing bookings and departures of Complainant’s cargo. After Respondent failed to respond for 11 days, Complainant repeated the request. MSC employee DeMarino responded that he was “still waiting on” the report, and that he “need[ed] to determine” if MSC’s records showed whether Complainant was “not booking anything or MSC is not giving [Complainant] space”.
87. Another week passed, and on July 27, 2021, Complainant again urgently demanded an update on MSC’s failure to provide space “asap and I need the weekly Booking Report as well”. In response, DeMarino ignored Complainant’s request and instead asked for PSS. After another urgent request from Complainant, DeMarino finally refused to provide a booking report, and again urged Complainant to agree to pay PSS in addition to the contracted rates.
88. In addition, as alleged above, Respondent deliberately carried out a scheme to agree to the 2021 Service Contract while intending not to perform unless Complainant agreed to pay PSS, which Respondent admittedly planned to demand after the contract went into effect.
89. Respondent’s actions—in failing to provide contracted space, failing to book Complainant’s cargo, failing to provide necessary information concerning booking issues, and engaging in a scheme to withhold service unless Complainant agreed to PSS, among

other things—individually and collectively amount to an unlawful refusal to deal with Complainant.

Respondent's Discrimination Concerning Ports

90. Respondent engaged in unlawful discrimination in connection with multiple ports.
91. Respondent entered into the 2021 Service Contract with the expectation, as reflected in internal emails, that Respondent would fail to perform with respect to two ports of load (Qingdao and Tianjin) unless Complainant agreed to pay PSS.
92. True to its expectation, Respondent failed to meet its obligations with respect to Complainant's cargo from Qingdao and Tianjin. In the first three months of the service contract, Respondent provided the contracted quantity of space for shipments originating from Fuzhou, carrying the equivalent of 16.25 TEUs. In the same time period, however, Respondent did not carry a single container from Qingdao, carrying 0 out of 78 TEUs, and carried only the equivalent of 42.75 TEUs from Tianjin.
93. Similarly, during the course of the 2020 Service Contract, Respondent's shortfalls and demands for PSS were concentrated on shipments originating from Qingdao, Tianjin, and Ningbo, but not Jakarta or Fuzhou.
94. Respondent's discrimination in connection with shipments originating from the ports of Qingdao, Tianjin, and Ningbo constitutes unlawful discrimination in connection with a port.
95. In addition, Respondent's apparent discrimination against Complainant in favor of other shippers, notably spot market shippers and shippers who agreed to pay higher rates, including PSS for shipments originating from Qingdao, Tianjin, and Ningbo, constitutes undue and unreasonable preference and advantage to shippers other than Complainant and

imposes an undue and unreasonable prejudice and disadvantage on Complainant and in favor of other shippers in connection with those ports.

Respondent's Unjust and Unreasonable Practices

96. Respondent has engaged in several unjust and unreasonable practices relating to receiving, handling, storing and/or delivering Complainant's cargo.
97. As alleged herein, Respondent has entered into service contracts under false pretenses, including by agreeing to the 2021 Service Contract with the knowing intention of failing to perform unless Complainant agreed to pay PSS.
98. Respondent has suggested that its practice of coercing PSS is widespread and ongoing, as evidenced by Respondent's claim in 2020 that the "*majority of accounts have accepted*" PSS and its similar claim in 2021 that "*[e]veryone is accepting*" PSS.
99. The FMC has launched an investigation into carrier surcharge practices. Chairman Maffei has noted that the FMC has received "increasing reports of ocean carriers assessing new additional fees" despite record-high service contract prices.
100. As also alleged herein, beginning in or around October 2020, Respondent followed a practice of systematically failing to perform under the Service Contracts, forcing Respondent to obtain space on the spot market at exorbitant prices, including in some instances on Respondent's own vessels or on vessels owned by Respondent's alliance partner. On information and belief, Respondent has benefited from this practice by carrying cargo at higher rates, including as a result of increases in spot market prices.
101. Respondent has suggested that its practice of systematically favoring higher-priced cargo instead of fulfilling its service contracts is widespread and ongoing, as evidenced by

Respondent's statement that "*cargo with higher rates may have priority*" over contracted cargo.

102. Respondent has also implemented practices that unfairly and unreasonably prevent customers like Complainant from investigating and correcting issues concerning the booking and receiving of cargo.
103. Respondent's practice of denying necessary information to customers, and apparently failing to maintain records sufficient to provide such information, appears to be ongoing and widespread, as evidenced by the fact that, in July 2021, despite multiple requests from Complainant for a booking report, MSC employee DeMarino refused to provide such a report, claiming that "*we do not have a booking report*. Just what we are actually lifting."
104. On information and belief, Respondent's unjust and unreasonable practices, including failing to maintain or provide booking reports to customers, systematically preferring higher-priced cargo over performing on its service contracts, and deliberately coercing surcharges including PSS as a precondition to carry previously contracted cargo, are widespread, continuous, and ongoing. The financial incentives for Respondent's conduct alleged herein apply to Respondent's conduct with respect to all shippers that are situated similarly to Complainant. Indeed, Respondent's general statements concerning such practices—including that "everyone" is accepting PSS, that "cargo with higher rates may have priority", and that Respondent fails to maintain booking records or provide them to customers—suggest that Respondent's practices extend well beyond its treatment of Complainant.
105. Respondent is reportedly poised to become the largest container line in the world, and is part of a global alliance with the other largest container line in the world. Abusive, unjust,

and unreasonable practices such as those alleged herein employed by one of the largest and most powerful container lines are likely to wield outsized influence over general practices in the industry. If not corrected, Respondent's unlawful practices alleged herein may become industry standard, sending a message to all global container lines that it is acceptable to ignore service contracts in favor of spot market profiteering, coerce surcharges from customers as a precondition to carrying contracted cargo, ignore customer attempts to book or investigate booking issues, and even negotiate service contracts under false pretenses.

106. Indeed, the FMC's current investigation into carrier surcharges such as PSS appears to suggest that some of Respondent's unjust and unreasonable practices may have already been adopted by other large carriers. The FMC demanded a response from Respondent and seven other major carriers, noting that "[e]ach ocean carrier [including Respondent] was identified as having recently implemented or announced congestion or related surcharges". The Commission's press release stated that the investigation into Respondent and its peers followed the Commission's receipt of communications "from multiple parties reporting that ocean carriers are improperly implementing surcharges."

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)

107. Complainant repeats and realleges each and every allegation above as if fully set forth herein.
108. The foregoing customary, continuous conduct by Respondent, in connection with its receipt, handling, storage, and delivery of the property of Complainant and, upon information and belief, of other shippers, constitutes failure by Respondent to establish,

observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and other shippers, in violation of 46 U.S.C. Section 41102(c).

COUNT II: VIOLATION OF 46 U.S.C. § 41104(a)(2)

109. Complainant repeats and realleges each and every allegation above as if fully set forth herein.
110. The foregoing conduct by Respondent constitutes provision of service in the liner trade that is not in accordance with the rules and practices contained in Respondent's Service Contracts with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

COUNT III: VIOLATION OF 46 U.S.C. § 41104(a)(5)

111. Complainant repeats and realleges each and every allegation above as if fully set forth herein.
112. The foregoing conduct by Respondent in the course of providing service to Complainant pursuant to Respondent's Service Contracts with Complainant, which was continuous and ongoing until the filing of Complainant's Verified Complaint, constituted an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the Service Contracts, in violation of 46 U.S.C. Section 41104(a)(5).

COUNT IV: VIOLATION OF 46 U.S.C. § 41104(a)(9)

113. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

114. The foregoing conduct by Respondent in the course of providing service to Complainant pursuant to Respondent's Service Contracts with Complainant, which was continuous and ongoing until the filing of Complainant's Verified Complaint, gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed an undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the Service Contracts, in violation of 46 U.S.C. Section 41104(a)(9).

COUNT V: VIOLATION OF 46 U.S.C. § 41104(a)(10)

115. Complainant repeats and realleges each and every allegation above as if fully set forth herein.
116. The foregoing conduct by Respondent in the course of negotiating with Complainant and providing service pursuant to Respondent's Service Contracts with Complainant constitutes unreasonable refusal to deal or negotiate with Complainant, in violation of 46 U.S.C. Section 41104(a)(10).

VII. CAUSATION

117. The foregoing alleged illegal acts of Respondent have directly and proximately injured Complainant by forcing Complainant to make alternate transportation arrangements for cargo that was supposed to be shipped by Respondent pursuant to the terms of the Service Contracts at substantially higher spot market prices or forgo shipping such cargo altogether, and by coercing Complainant to pay PSS during the 2020-2021 shipping year in order to secure its previously contracted space.

VIII. COMPLAINANT'S DAMAGES

118. Respondent's alleged misconduct has injured Complainant in several ways.

119. During the term of the 2020 Service Contract, Respondent's misconduct alleged herein caused Respondent to carry only 1101 of the 1400 contracted TEUs, forcing Complainant to secure 299 TEUs on the relevant lanes via the spot market or from other carriers at significantly increased prices. In total, Respondent paid at least \$400,000 more for carriage of those TEUs than the rates set forth in the 2020 Service Contract.
120. During the first three months of the 2021 Service Contract, prior to the filing of the Verified Complaint in this action, Respondent's misconduct caused Respondent to carry the equivalent of only 59 of the 182 contracted TEUs, forcing Complainant to secure at least 123 TEUs on the relevant lanes via the spot market or from other carriers at significantly increased prices. In total, Respondent paid at least \$400,000 more for carriage of those TEUs than the rates set forth in the 2021 Service Contract.
121. In addition to the direct cost of replacing cargo shortfalls at higher rates, Respondent's misconduct has caused Complainant to incur other injuries, including delays, reduced inventory, unnecessary expenses, and lost profits, as well as attorneys' fees and expenses relating to litigation.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that the FMC require Respondent to answer the charges made in this Verified Amended Complaint and prays for relief from the FMC as follows:

1. An investigation by the FMC of the allegations in this Verified Amended Complaint pursuant to 46 U.S.C. Section 41301(c);
2. An Order, after due investigation pursuant to 46 U.S.C. Sections 41302 and 41303 and a hearing pursuant to 46 U.S.C. Section 41304, finding that Respondent has violated 46

U.S.C. Section 41102(c) in connection with its receipt, handling, storage, and delivery of the property of Complainant, that Respondent has violated 46 U.S.C. Sections 41104(a)(2), 41104(a)(5), and 41104(a)(9) in connection with its service contracts with Complainant, and that Respondent has violated 46 U.S.C. Section 41104(a)(10) by unreasonably refusing to deal or negotiate with Complainant;

3. An Order compelling Respondent to cease and desist from violation of the Shipping Act and putting in place lawful and reasonable practices to preclude Respondent from failing to provide Complainant with its contracted space at the prices agreed under its 2021 Service Contract with Complainant for the remaining term of that Service Contract;
4. An Order requiring Respondent to pay Complainant reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), Complainant's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and
5. Such other and further orders or relief as the FMC deems just and proper.

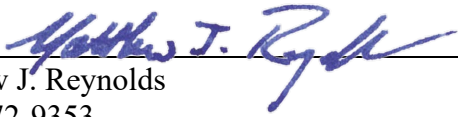
X. REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, DC.

Dated: December 23, 2021

Respectfully submitted,

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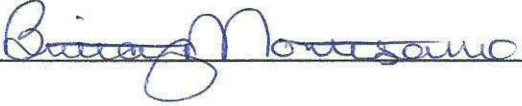
41 Cannon Court

Huntington, NY 11743

Counsel for Complainant MCS Industries, Inc.

VERIFICATION

I, Brittany Montesano, am a Logistics Analyst at Complainant MCS Industries, Inc., 2280 Newlins Mill Road, Easton, Pennsylvania 18045, telephone (610) 253-6268, email bbell@mcsframe.com. I have read the foregoing Verified Amended Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct. Executed on December 23, 2021.



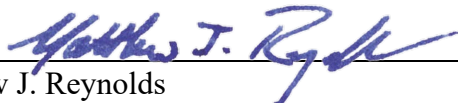
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent MSC Mediterranean Shipping Company SA by emailing copies of those documents to its counsel of record listed below:

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Dated: December 23, 2021



Matthew J. Reynolds
For Complainant MCS Industries, Inc.